

Defendants “acted with malice, oppression, and fraud,” “knowingly submitted, or caused to be submitted, false and misleading sworn statements to the court regarding Plaintiff’s eligibility for Covid-19 rental assistance,” and “Defendants willfully blocked Plaintiff from paying rent while knowing that he had funds available and was attempting to pay in full” (FAC at ¶¶ 42-44) are insufficient.

Furthermore, when seeking punitive damages against a corporation like Defendants, Plaintiff must allege “advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud or malice ... on the part of an officer, director or managing agent of the corporation.” (Civ. Code §3294.) A review of Plaintiff’s FAC shows that there are no allegations regarding the conduct of an officer, director, or managing agent of Defendant. Accordingly, this requirement of pleading punitive damages against a corporation has not been satisfied. (See Code Civ. Proc. § 3294(b).)

Disposition

The Court finds and orders as follows:

1. Defendants’ motion to strike is GRANTED. The Punitive Damages Related Allegations in the operative Complaint are deemed STRICKEN.
2. Leave to amended is GRANTED. Code Civ. Proc. § 472a(d). Any amended complaint shall be filed and served within ten (10) days of notice of entry of this order.
3. The moving party shall prepare the proposed order after hearing.

10. 9:00 AM CASE NUMBER: C25-02209
CASE NAME: BRASS DOOR RESTAURANT INCORPORATED VS. 8 TO 5 PROPERTIES LLC
***HEARING ON MOTION IN RE: STRIKE 1ST AMENDED COMPLAINT**
FILED BY: 8 TO 5 PROPERTIES LLC
TENTATIVE RULING:

Before the Court is a motion to strike filed by defendants, 8 to 5 Properties LLC, and its managing member, Nancy Schlesinger, with respect to the First Amended Complaint, filed by plaintiff, Brass Door Restaurant Incorporated. The motion to strike is **DENIED**. Defendants shall file and serve their answer, as previously ordered, on or before September 24, 2026.

A. Allegations and Background

This is a commercial lease dispute involving a property in San Ramon at which plaintiff operated a restaurant. 8 to 5 Properties, LLC entered into the current lease with plaintiff's predecessor in interest on July 1, 2015. (FAC, Exhibit A [Lease].) The Lease is a 10-year lease with two 5-year options. Plaintiff took over the lease in March 2016. Rent at the time was \$14,000 per month, and has increased each year such that it was \$20,427.01 per month as of June 1, 2025. (FAC, ¶10-11.)

Plaintiff had been an exemplary tenant during the past 9 years of lease performance and has generally paid rent on time and in full and maintained the premises in good condition. (FAC, ¶12.) When the Covid pandemic hit, plaintiff, like every other restaurant in California, found itself subject to state and local government's severely restrictive shelter-in-place rules and could not operate at all, or was limited to takeout-only. (FAC, ¶13.) The rules severely impacted cash flow, including plaintiff's

ability to pay rent. (*Ibid.*) Plaintiff conferred with its landlord about this emergency situation in April and May 2020. They agreed at that time that defendants would forgive April 2020 rent and reduce rent from May 1, 2020 - September 30, 2020. In conformance with parties' agreement, plaintiff started paying full rent in October 2020. (FAC, ¶14.)

Despite receiving full rent, defendant landlord has "agitated" for more money from plaintiff, demanding approximately \$63,000. (FAC, ¶15.) Defendant landlord has further raised meritless complaints about maintenance, reported plaintiff to the local health department, and sent people to inspect the property without warning and at times when the inspections interfered with plaintiff's business. (FAC, ¶¶16-19.)

Plaintiff took actions to exercise its option to extend the lease. Specifically, Shahla Azad corresponded with the property manager for defendants. In her correspondence, Shahla proposed an adjustment to the amount of rent. Defendants have since attempted to repudiate that the option was exercised and charge holdover rent. (FAC, ¶¶20-24.)

On May 23, 2025, parties mediated the dispute and negotiated an agreement to address this impasse. (FAC, Exhibit B [interim settlement agreement]).

Plaintiff alleges, in paragraph 26:

In an effort to negotiate an agreement to address this impasse, the parties mediated the dispute on May 23, 2025. At the end of the mediation, DEFENDANT and SCHLESINGER committed to producing a proposed lease for the upcoming option period. The purpose of the interim agreement was to provide a bridge between the stated termination date of the Lease and August 1, 2025 when the parties would commence the first 5-year option period of the Lease. As the interim agreement was an extension of the Lease agreement between the parties, it was not subject to any mediation confidentiality.

Parties agreed to a third party inspection, which occurred and concluded the premises were in "fair to good condition." Still, after the inspection, defendants demanded plaintiff conduct over \$200k in immediate repairs. (FAC, ¶28.) As of July 31, 2025, the interim agreement expired and defendants failed to comply with the terms of the interim agreement and the option provision of the lease. (FAC, ¶29.)

Plaintiff made a good faith effort to continue operating through 2025 and continued to pay rent while defendants "continued their campaign of harassment," but plaintiff finally made the decision to give up possession of the premises. (FAC, ¶¶30-31.)

Prior to, and after, returning possession, Shahla Azad made statements publicly that she would re-open Brass Door at another location. (FAC, ¶32.) Around December, Azad became aware that defendants had been posting written notices on various social media indicating that Schlesinger would "re-open" Brass Door under "new management." Defendants created a "Brass Door" Facebook page and then blocked plaintiff from accessing the page in an effort to hide efforts to market the "new" Brass Door. (FAC, ¶33.) Plaintiff also learned defendants applied to the US Patent and Trademark Office to trademark the "Brass Door" name and trademark. (FAC, ¶34.)

Plaintiff brought suit on August 1, 2025. On March 9, 2026, the FAC was filed, alleging: (1) Breach of Lease; (2) Breach of Covenant of Good Faith & Fair Dealing; (3) Intentional Interference With Prospective Economic Advantage; (4) Promissory Estoppel; (5) Temporary Restraining Order & Preliminary Injunction; (6) Declaratory Relief; (7) Breach of the Covenant of Quiet Enjoyment, and

(8) Constructive Eviction.

After efforts to meet and confer (see Declaration of Pritpal Singh in Support of Motion to Strike, filed 4/15/26), defendants filed this motion, arguing that the FAC contains allegations subject to the meditation privilege and the content should be stricken.

Plaintiff opposes the motion, arguing that the FAC is based on a settlement agreement that may have resulted from meditation, but which is not made inadmissible under the relevant statutes. At the time of writing, no reply has been received.

B. Standard

Any party may move to strike the whole or any part of a pleading within the time allotted to respond to the pleading. (Code Civ. Proc., § 435, subd. (b)(1).) The court *may*, upon such motion, strike out “any irrelevant, false, or improper matter inserted in any pleading,” or “all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc., § 436, emphasis added.) The allegations of a complaint “must be liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc., § 452.) The court “read[s] allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume[s] their truth.” (*Clauson v. Sup. Ct.* (1998) 67 Cal.App.4th 1253, 1255.)

C. Discussion

Defendants’ motion argues that numerous portions of the FAC should be stricken based on their being inadmissible mediation writings or communications. The majority of the memorandum of points and authorities is dedicated solely to listing these portions of the FAC, which defendants contend fall into four categories: references to communications made during the mediation, references to the interim agreement, the interim agreement itself (Exhibit B to the FAC), and allegations that relate to the terms of the interim agreement.

Plaintiff concedes that “statements made at mediation” are barred by the mediation privilege. Still, plaintiff cites an exception to the mediation privilege regarding the Interim Settlement Agreement. Evidence Code § 1123(d) states that a “written settlement agreement prepared in the course of, or pursuant to, a mediation, is not made inadmissible, or protected from disclosure, by provisions of [the mediation statutes] if the agreement is signed by the settling parties and [...] [t]he agreement is used to show fraud, duress, or illegality that is relevant to an issue in dispute.”

Here, the Interim Settlement Agreement is signed by both sides. While the agreement does not expressly provide that the settlement is binding or enforceable, plaintiff alleges that defendants’ conduct amounted to fraud, duress, or illegality because plaintiff was induced to forbear from pursuing other alternative locations, putting full time and effort into maintaining and maximizing business at the premises it had been leasing to date. (See FAC, ¶172.)

As noted in the Court’s prior ruling on the demurrer, plaintiff’s position has merit. The purpose of mediation confidentiality is to ensure open communication and promote “a candid and informal exchange regarding events in the past.” (*Foxgate Homeowners’ Assn. v. Bramalea California, Inc.* (2001) 26 Cal.4th 1, 14.)

In this instance, that objective would not be promoted by applying confidentiality statutes to prevent one settling party from enforcing a settlement agreement signed by the party allegedly reneging on the settlement. Parties here apparently intended to continue negotiating in good faith based in part on defendants’ commitment to provide a new proposed lease. They made such continued negotiation contingent on some baseline requirements which defendants seek to conceal

through the mediation privilege.

Finally, the specific portions of the FAC at issue are not numbered as required (Cal. Rules of Court, rule 3.1322 requires them to be “numbered consecutively”) and the list of the items subject to the motion contains several errors that make it difficult to determine what is being targeted. To name a couple of examples, the line numbering is wrong as to the purported contents of paragraph 54 and the quoted text does not exist in paragraph 78. Other items are overbroad. For example, the targeted statement in paragraph 98 alleges “plaintiff had no choice but to vacate due to defendants’ harassment [...]” and that statement has nothing to do with mediation.

The Court declines to strike the targeted portions of the FAC.

11. 9:00 AM CASE NUMBER: C26-00187
CASE NAME: SEBRION MCHENRY-STEWART VS. JESSE GILLESPIE
HEARING IN RE: MOTION AUTHORIZING SERVICE ALTERNATIVE
FILED BY:

TENTATIVE RULING:

On April 21, 2026, plaintiff Sebrion Mchenry-Stewart (“Plaintiff”) filed a motion for leave to serve defendants Jesse Gillespie and Regional Protection Agency Services Inc. (“Defendants”) by email as an alternative method of service (the “April 2026 Motion for Leave to Serve by Email”). The April 2026 Motion for Leave to Serve by Email was set for hearing on June 29, 2026.

Background

Plaintiff filed this action on January 20, 2026. The Petition seeks monetary damage and enforcement of a Decision of the Labor Commissioner of the State of California in Plaintiff’s favor dated December 18, 2025 (the “Decision”).

Plaintiff previously filed a motion for leave to serve Defendants by email on February 19, 2026 (the “February 2026 Motion for Leave to Serve by Email”). That prior motion was heard on June 29, 2026 and denied.

This motion was filed while the prior motion was still pending. It is not clear to the Court why this April 2026 Motion for Leave to Serve by Email was filed when the February 2026 Motion for Leave to Serve by Email was still pending and had a hearing date in June 2026.

Despite the apparent procedural irregularities, the Court has considered this separate motion.

Analysis

Plaintiff references Code of Civil Procedure section 415.20. That section provides for what is often described as “substitute service.” Substitute service on a defendant at their place of residence requires a three-step process (1) leave a copy of the summons and complaint at the defendant’s dwelling; (2) with a “competent member of the household,” and (3) thereafter mailing a copy to the defendant at the place where the copies were left. Code Civ. Proc 415.20(b); see Weil & Brown, *et al.*, *Cal. Prac. Guide: Civ. Pro. Before Trial* (The Rutter Group 2025), § 4:206.

Leave of the Court is not required before a party resorts to substitute service to serve a party.

In any event, Section 415.20 does not apply to what Plaintiff is seeking, i.e. permission to serve the Defendants by email.